Table 7.3. Phase III −− US−dollar investor: GCF vs the FX−adjusted FXGCF

Country	R2 (local CF)	GCF	t	R2 GCF	FXGCF	t	R2 FXGCF	N
Belgium	0.031	1.70	(1.57)	0.048	1.23	(1.83)	0.067	353
Germany	0.065	1.76	(1.63)	0.052	1.26	(1.87)	0.072	352
France	0.083	1.76	(1.65)	0.052	1.26	(1.90)	0.071	352
Italy	0.108	1.67	(1.56)	0.042	1.16	(1.75)	0.055	352
Netherlands	0.011	1.72	(1.59)	0.049	1.24	(1.84)	0.069	353
Switzerland	0.148	1.45	(1.48)	0.042	1.09	(1.80)	0.064	353
UK	0.116	1.75	(2.02)	0.075	1.10	(2.04)	0.081	352
Sweden	0.101	2.55	(2.04)	0.079	1.72	(2.24)	0.097	352
Canada	0.114	2.13	(2.88)	0.129	1.40	(3.02)	0.151	352
Japan	0.000	0.43	(0.31)	0.001	0.61	(0.77)	0.009	366
US	0.330	1.37	(4.43)	0.328	0.83	(4.11)	0.325	412

LHS: US−dollar excess return rx_USD_{i,t+12} (Eq 11). 'R2 (local CF)' repeats the dollar return on the local factor for reference; the GCF and FXGCF blocks regress rx_USD on the global (Eq 22) and the FX−adjusted global (Eq 23) factor. HAC t−stats in (.). The US row carries no currency leg. cor(GCF, FXGCF) = 0.99 in this sample, so the two factors are close substitutes.